

A stylized illustration of a red truck with a white cargo box. The truck is shown from a side profile, facing left. The cargo box is large and rectangular, with the title text centered on its side. The truck has two large black wheels, a grey fuel tank, and a red cab with a blue-tinted window.

DIGITALIZATION OF TRUCK LOGISTIC INDUSTRY

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1. OVERVIEW

2. USER PERSONA

3. INDUSTRY

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7. GTM STRATEGY & SUSTAINABILITY





Braking for Justice: New Hit-and-Run Law Raises Concerns for Truck Drivers

2 Jan 2024, Mr. Chetan Bhagat, Journalist, The Times of India)

As per the new law, the hit-and-run cases can attract up to 10 years jail term and a fine of ₹ 7 lakh. We are drivers, how can we pay such a big fine amount?," says Syed Wajed, a tanker driver protesting in Maharashtra



"Sleepless for days": Indian truckers are overworked, underpaid, and have no healthcare

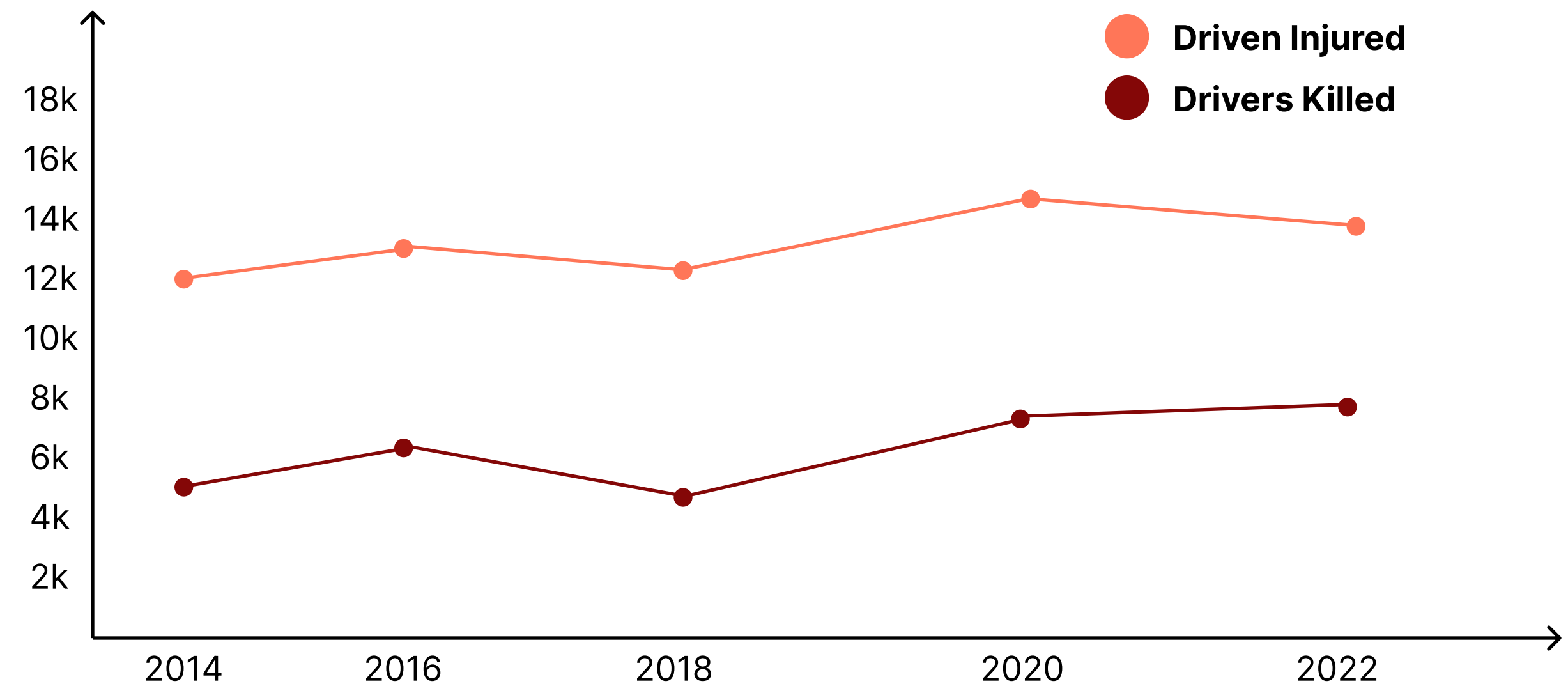
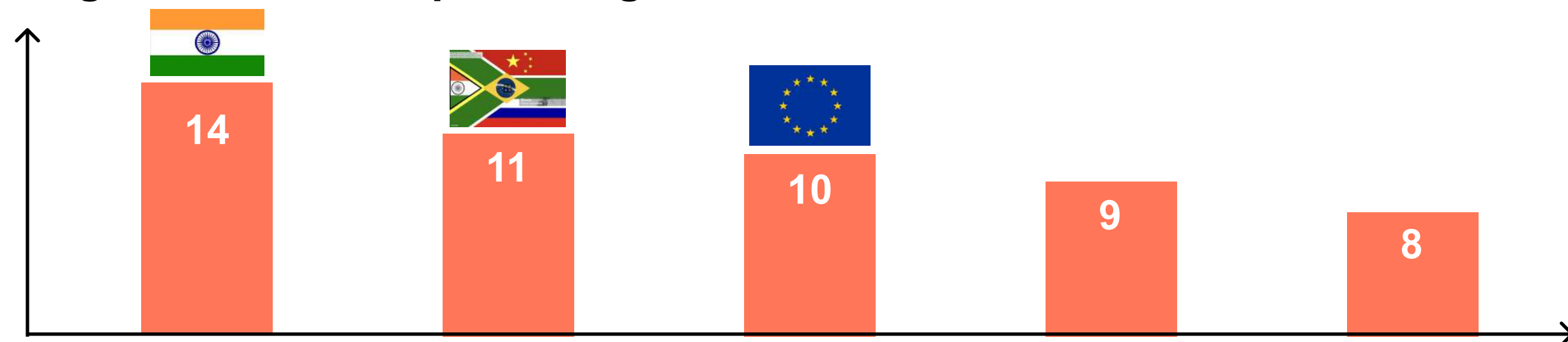
5 Nov2023, Mr. Swati Sharma

Indian truckers endure extreme conditions, facing sleep deprivation, inadequate compensation, a lack of healthcare, highlighting systemic challenges in the industry

From Offline to Onboard: Can Digitization Get India's Trucking Industry Up to Speed?

As the trucking sector in India moves from offline to onboard operations, digitization has the potential to revolutionize the sector by bringing efficiency and innovation

Logistics cost as a percentage of GDP



PROBLEM STATEMENT

Digitalize **86% of unorganized** Truck Drivers sector and onboard them on XYZ Logistic platform following a structured Roadmap of **Go-to-Market strategy** and **ensure sustainable growth** of XYZ Logistics

Optimize logistics operations within given **time constraints** and **Maximize Revenue, Ensure Adequate Truck Utilization, Balance Goods Type Allocation** and **ensure dynamic adjustment for Goods Type and Age**

Analyze **Financial feasibility** of the proposed solution and provide insights to generate **more revenue & operational efficiency**

Bonus Problem: A technical solution proposed in **Operational Research (OR)** to optimize availbale Truck data



Truck Digitization?

Applying digital technologies like **Telematics, AI, Big Data**, and automation to optimize truck operations, enhance safety, and improve **logistics efficiency** by **real-time tracking, fuel monitoring, route optimization**, predictive maintenance, connected vehicles, and even autonomous driving in the future.

IMPORTANCE OF TRUCKS IN INDIA



Supply Chain Backbone

- Raw Material Transportation
- Finished Goods Distribution
- Infrastructure Support

Accessibility Enabler

- Connecting Rural and Urban Areas
- Supporting Businesses
- Education and Healthcare

Economic engine

- Linking Production & Consumption
- Creating Employment & Economic Growth

Job creation

- Direct Employment to Drivers and Logistics Market
- Indirect Employment to Rural Development
- Skill Development driver

Global trade facilitator

- Multimodal Integration
- Export Value Chain
- Cost and Time Efficiency
- Supply Chain Resilience

\$ 22.126 Billion Truck Industry of India's **\$ 317.26 Billion** logistics industry in 2023

10 Million + Trucks crisscross India's arteries

4.6 Billion tonnes of cargo transported annually covering distances upto **10 Trillion km**

2.2 Trillion (tonne-km) transport demand generated at the cost of **₹9.5 lakh Cr.**

9.6 Trillion tonne-km road freight movement is expected to increase by **2050**

76% and **21%** of Heavy and Medium-duty trucks respectively for road transportation

4X truck growth, from **4 Million in 2022** to **17 Million trucks by 2050**

80% of freight transportation is trucking sector in India

86% Unorganised sector Industry dominance

Challenges & Oppurtunities

Driver shortage



Remote Control and Management

Fragmentation



Mobile Apps and Digital Tools

Technological & Infrastructural Advancements



Telematics and Real-Time Monitoring

Sustainability Concerns



Electric Trucks

Informal practices



E-Way Bills and Digital Paperwork

**Name:** Ravi**Job Title:** Truck Driver -
Operations Frontline

Background: Ravi is an experienced truck driver who has been part of the Indian trucking industry for several years.

Goals: Ravi aims to earn a steady income, ensure job security, and have a work schedule that allows for a balance between professional and personal life.

Pain Points:

- Irregular employment opportunities.
- Uncertainty in income.
- Long hours on the road.
- Concerns about the environmental impact of diesel-powered trucks

**Name:** Priya**Job Title:** Operations
Manager - Transportation

Background: Priya has been working in the transportation industry in India for over a decade. She is currently an operations manager for a logistics company.

Goals: Priya is focused on optimizing the operations of her logistics company, reducing inefficiencies, and exploring innovative solutions to stay competitive in the market.

Pain Points:

- Dealing with unorganized employment models
- Facing challenges in streamlining processes
- Lacking reliable transportation options.

**Name:** Rajesh**Job Title:** Regulatory
Officer - Government

Background: Rajesh is a regulatory officer working in the transportation department of the Indian government.

Goals: Rajesh aims to ensure compliance with regulations, promote sustainable practices in the industry, and facilitate the integration of organized employment models.

Pain Points:

- Managing unregulated practices in the trucking industry.
- Addressing environmental concerns.
- Ensuring the safety and efficiency of transportation networks.



Both the logistics and truck industries are poised for significant growth in India, driven by a booming economy, government initiatives, and technological adoption.

India's Truck Industry

Current Industry size
in 2023
\$ 26.14 B

Projected Industry size
by 2032 (CAGR - 7.86%)
\$ 44.6 B

India's GDP Contribution
5%
Generating 4 M+ Jobs



Truck Digitalization Industry

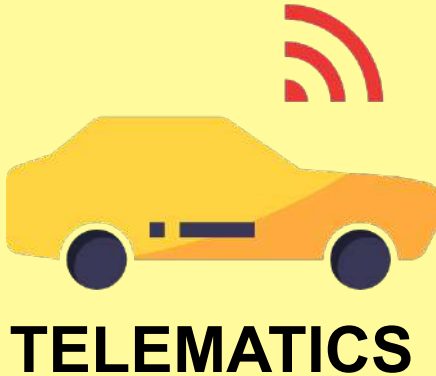
Current Industry size
in 2023
\$ 38.58 B

Projected Industry size
by 2028 (CAGR - 16.3%)
\$ 58.90 B

India's GDP Contribution
8-10%
Generating 22 M Jobs

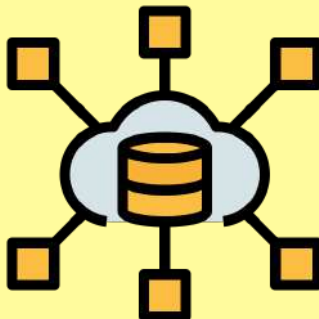
MARKET SEGMENTATION

By Technology



TELEMATICS

Current Global Market Size \$18 B
Focus on Real-time tracking, Fuel monitoring, Driver behavior analysis, and Safety features.



AI & BIG DATA

Current Global Market Size \$5 B
Offering route optimization, predictive maintenance, dynamic pricing for logistics, and deeper operational insights.



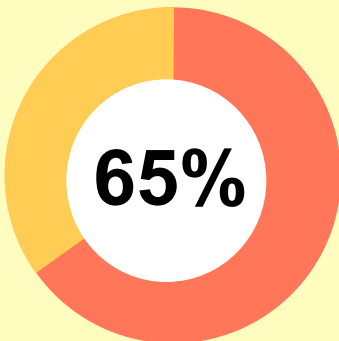
CONNECTED VEHICLE APPLICATIONS (CVA)

Emerging segment
Includes vehicle-to-vehicle (V2V) and vehicle-to-infrastructure (V2I) communication for improved traffic flow, safety, and automated driving

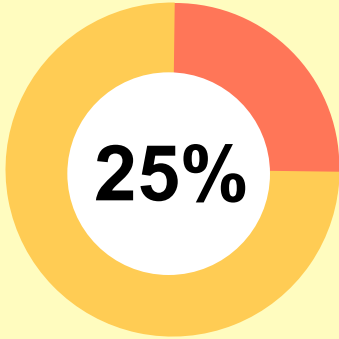
By Truck Type



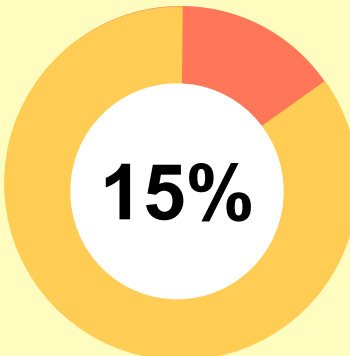
LIGHT- DUTY



MEDIUM- DUTY



HEAVY- DUTY



By Application



LAST-MILE DELIVERY

Current Global Market Size \$7 B
Digital platforms optimize routes, improve delivery times, and enhance customer experience



LONG-HAUL TRANSPORTATION

Current Global Market Size \$13 B
Focus on fuel efficiency, driver fatigue management, and real-time tracking for optimal fleet operation



COLD CHAIN LOGISTICS

Growing segment
Temperature-controlled sensors and data analytics ensure perishable goods are delivered safely and efficiently

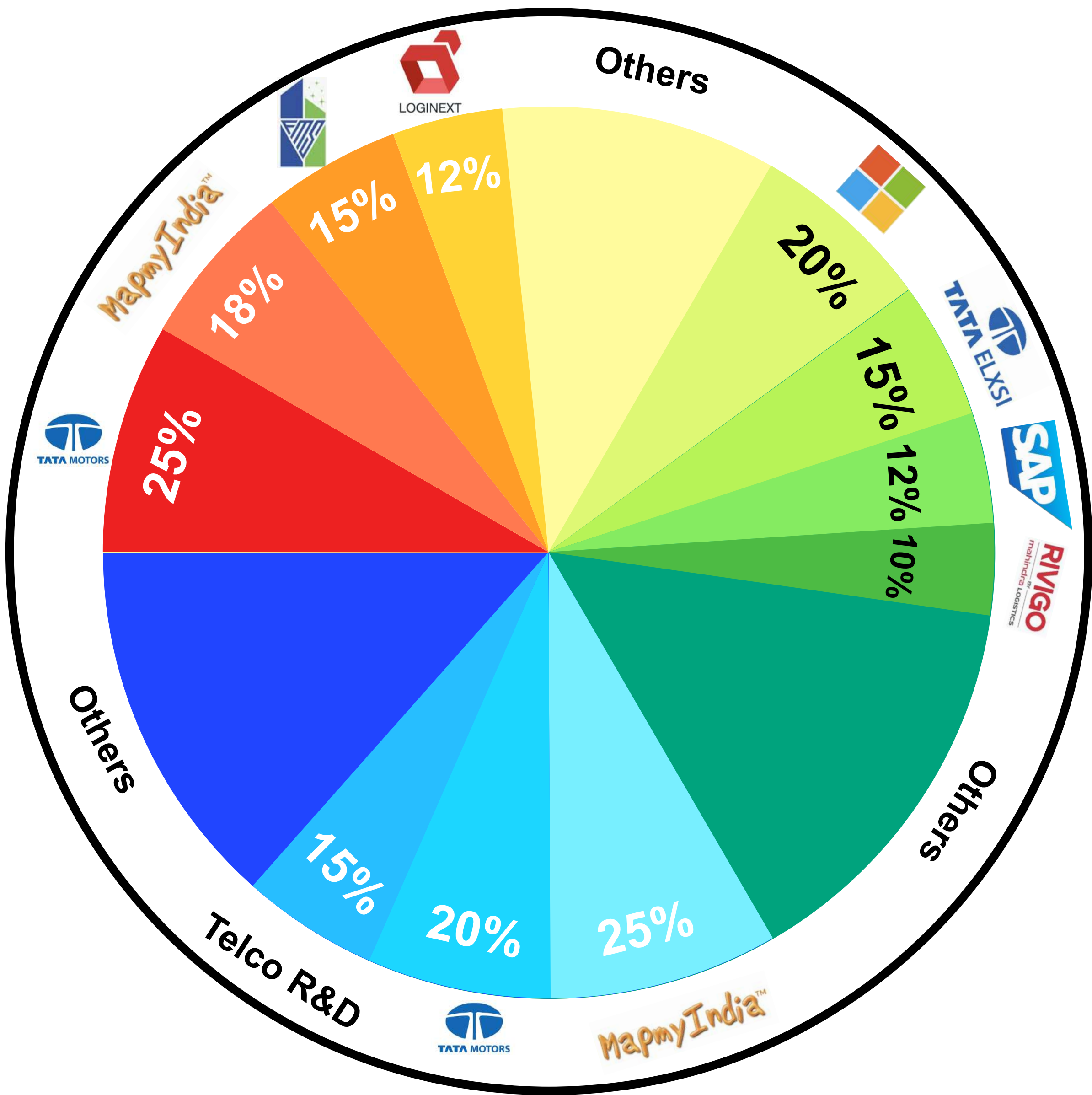


CONSTRUCTION & MINING

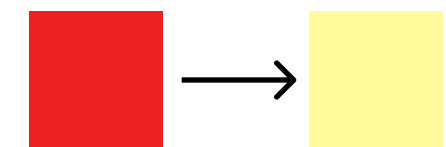
Unique Requirements
Ruggedized hardware and specialized software address unique needs like site management, equipment tracking, and safety monitoring



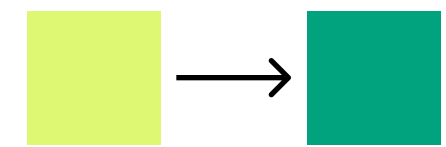
Indian Truck Digitization Market Share



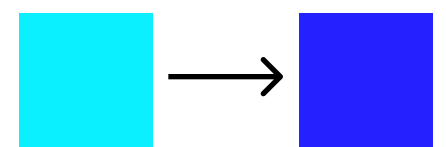
Market Segment



Telematics



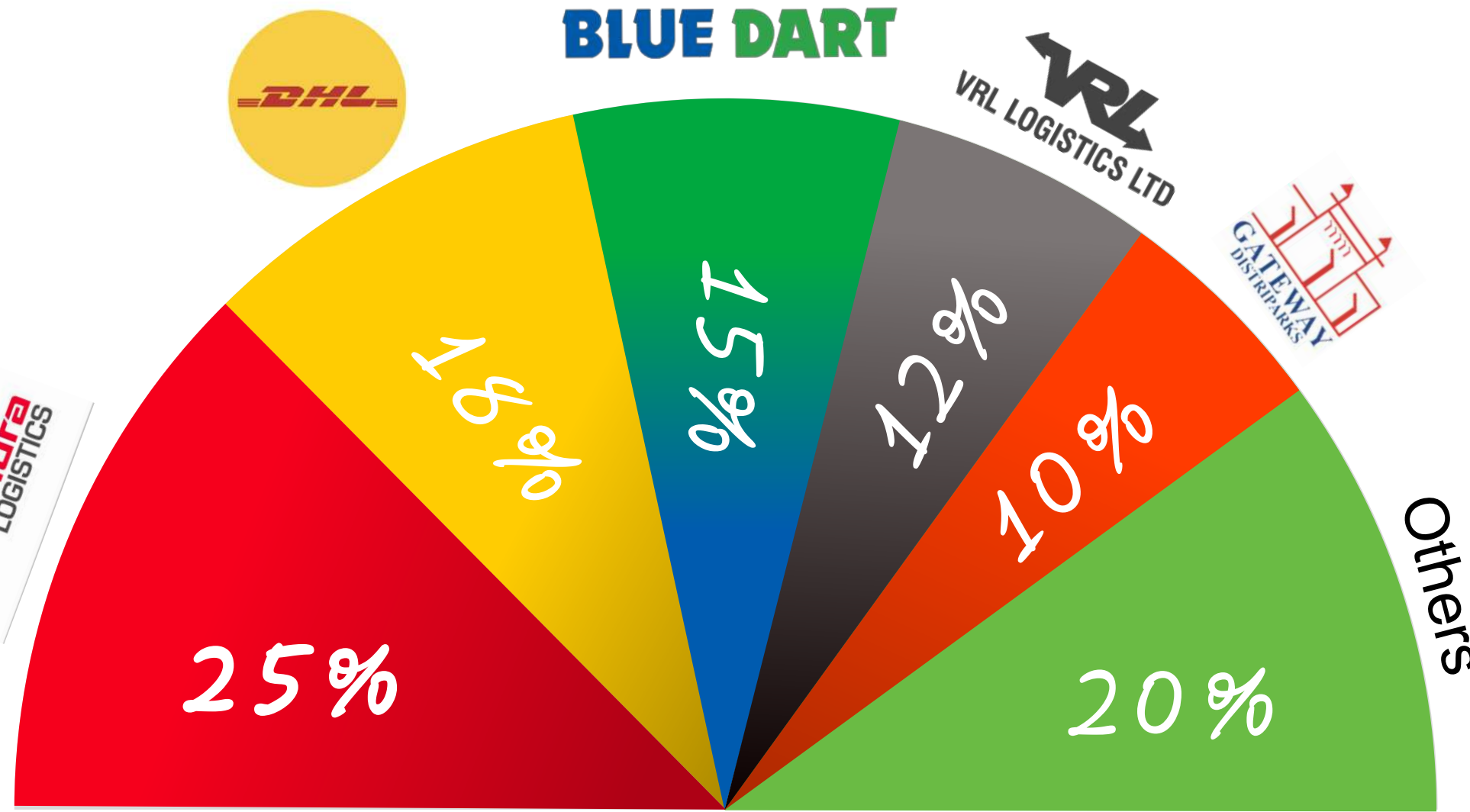
AI & Big Data



CVA



BLUE DART



Indian Truck Industry Market Share

Porter's Five Forces

HIGH MEDIUM LOW

Threat of New Entrants	Bargaining Power of Suppliers	Bargaining Power of Buyers	Threat of Substitutes	Industry Rivalry
High capital investment	Consolidation of major shippers	Price flexibility to Buyers	Diverse Transportation Options	Low Entry Barriers
Established relationships with customers and suppliers	Increased customer choice due to digital freight platforms	Limited alternative truck technologies to Users	Client Relationships	Customer Switching Costs
Technology advancements reducing barriers	Growing demand for flexibility and customization	Limited Profitability to Industry	Specialized Services	Price Wars and Cost Pressures

 OVERVIEW INTRO INDUSTRY SOLUTIONS LOGISTIC OPTIMISATION GTM STRATEGY FINANCIAL FEASIBILITY 						
Parameters	TL	LTL	SDs	Electric Vehicles	Diesel Vehicles	
Environmental Impact	3/5	3/5	2-4/5	Lower Carbon Footprint	Higher Carbon Footprint	
Fuel Efficiency	5-6 mpg	5-6 mpg	3-6 mpg	More Efficient	Good for highways	
Operating Costs	\$1.50-\$2.00/mile	\$1.00-\$1.50/mile	\$1.75-\$2.50/mile	Lower Operating Cost	Higher Maintenance Cost	
Purchase Price	\$150K-\$200K	\$100K-\$150K	\$200K-\$300K	Higher Upfront Cost	Lower Upfront Cost	
Range	500-1000 miles	500-1000 miles	300-800 miles	Daily commute (avg 200-300 km)	Long tank range	
Load Capacity	40K+ lbs	10K-40K lbs	Variable	Lower than diesel trucks	High Capacity	
Market Share	45%	30%	25%	Growing	Dominant	
Noise Pollution	70-80 dB	70-80 dB	75-90 dB	Much quieter	Noisy	
Maintenance	\$0.15-\$0.20/mile	\$0.10-\$0.15/mile	\$0.20-\$0.30/mile	Low	High	



DRIVER'S APP JOURNEY

Phase 1: Onboarding

Stage 1
Installation

Install App through Advertising
↓
Select Language

Stage 2
Personal
Information

Enter Name
↓
Enterprise Name (if any)
↓
Enter Purpose
↓
Contact Verification
↓
Aadhar Card,
Driving License verification

Phase 2: Driver allotment

Stage 1
Driver
Convenience

Rest Mode or Work Mode switching

Stage 2
Trip
Allotment

Potential Driver get Trip request
along with trip requirements
↓
Driver Approve/Reject trip request
↓
Driver gets Trip confirmation
within time range according
to location & user needs

Phase 3: Delivery

Stage 1
Pre-Journey

Driver reach Pickup point
↓
OTP Verification

Stage 2
On-Journey

Communication with Client , Break
suggestions, Driver swapping (Relay
Model)

Stage 3
Post-Journey

Trip completion, OTP Verification
↓
Client Payment
↓
Profile update & Driver Feedback

SKILL DEVELOPMENT : WILL CARRY-ON SKILL DEVELOPMENT WITH THE HELP OF VARIOUS GOVERNMENT SCHEMES : **Road Transport Skill Development Fund (RTSDF)** and **FAME-II Scheme (Faster Adoption and Manufacturing of Hybrid and Electric Vehicles)**.

Driver Retention Rate: 60%, indicating a concerning rate of driver attrition.



KEY FEATURES

Multi - Language



KEY FEATURES

Rest Mode / Work Mode?

Time buffer?



KEY FEATURES

Driver Swapping (Relay Model)?

AI Break suggestions?

Profile Update?



CLIENT'S APP JOURNEY

Phase 1: Onboarding

Stage 1
Installation

Install App through Advertising
↓
Select Language

Stage 2
Personal
Information

Enter Name
↓
Contact Verification

 KEY FEATURES**Multi - Language**

Phase 2: Finding Truck

Stage 1
User Inputs

Pick Up and Delivery location
↓
Enter approx Weight & Volume
↓
Enter Good Types
↓
Delivery date requirement (if any)
↓
Limited Truck Load , Full Truck Load,
Specialized Truck Load (Best ones
suggested)

Stage 2
Truck
Allotment

Choose Truck type with dynamic pricings
↓
Waits for confirmation by XYZ logitics
↓
Trip confirmation message received

 KEY FEATURES**Truck & Driver allotment suggestion Algorithm?**

Phase 3: Delivery

Stage 1
Pre-Journey

Truck reach Pickup point
↓
OTP Verification

Stage 2
On-Journey

Comunication with Driver via App,
Real time tracking, Company
assistance

Stage 3
Post-Journey

Load received by receiver client,
OTP Verification
↓
Client Pays
↓
Profile Update & Client Feedback

 KEY FEATURES**Real Time Tracking?****Profile Update?**



KEY APP FEATURES

FOR WELL BEING OF DRIVERS

1 Rest Mode / Work Mode



Rest Mode

**When Driver
decides to Rest**
(Driver Choice)



Work Mode

**When Driver
wants to Work**
(Driver Choice)



Active Mode

**Truck travel
hours tracking**
(Automated)

IMPACTS

Flexibility hours for drivers to start the journey

Hours tracking: suggests Break duration and Revenue balance between drivers

2 Limited repetitive routes

Same route is good for
Drivers for route knowledge &
driving habit reason

Excessive repetitive trips
on same route results to
fatigue

Solution

**Send driver to limited repetitive
routes to maintain balance**

Toll Booth Delay: 30-60 min per toll plaza, leading to delay and cost losses

Axle Load Compliance: 20-30% of trucks exceed permitted axle loads

FOR WELL BEING OF BOTH DRIVERS & CLIENTS

1 Profile update & break suggestion



Driver

Weekly, Monthly tracking of Travel Hours/ Consecutive Days, Distance travelled & Revenue earned

Suggest break durations to optimize peak limits, optimize revenue earned balance between driver community according to Driver experience age groups & ratings to eliminate unfairness between a experienced skilled & new driver

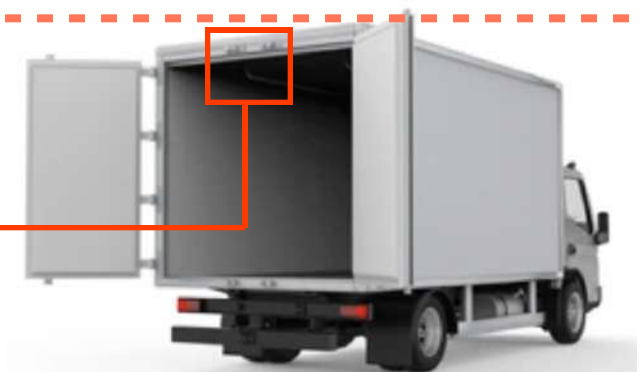


Client

Track usage history using Data Analytics & get benefited if a client is using in some repetitive patterns

2 Camera implementation

Location of Installation



CHALLENGE

Theft & illegal goods concerns

SOLUTION

Implement Camera on Back Top
from where goods are loaded

IMPACT

Sense of security and trust,
eliminates theft & legal cases

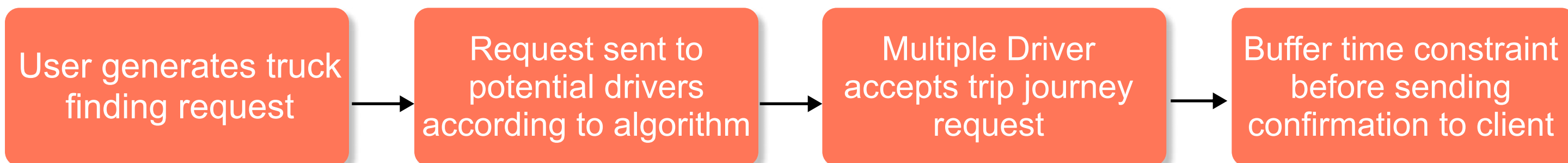
FACTORS

Expense & One Time Investment,
Selected Trucks Implementation.



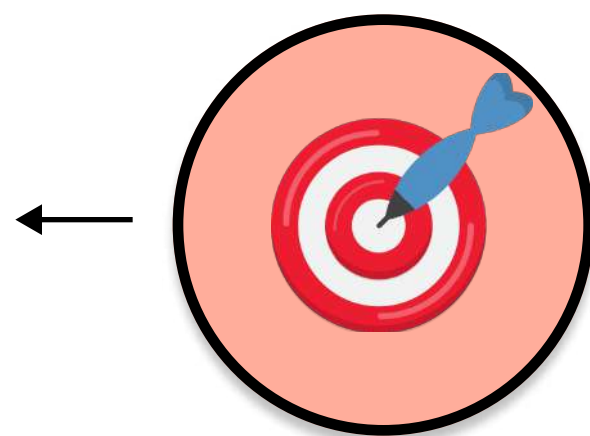
LOGISTICS OPTIMIZATION FEATURES

1 Time Buffer



FACTOR: Buffer time duration will depend on **historical frequency of orders** based on type of truck (LTL, FTL, STL or EVs), from and to location

Eliminates first come - first serve trucks and give a chance for **better available truck options**



If all drivers rejects in a range - **time for range expansion** after a certain time duration.

2 Business Pace changes & Peak management

Demand Forecasting

- Historical data analysis & and seasonal trends
- Weather forecasts, holidays, and industry events

Fleet Optimization

- Partnering with a flexible network of vehicles
- Dynamic pricing
- Vehicle type optimization

Operational Efficiency

- Route optimization algorithms
- Real-time tracking and communication
- Warehouse logistics

Empty Truck Miles: 30-40% Significant Operating inefficiency

3 Relay Model

Relay Points: Strategically located relay points are established along the route.

Driver Swaps: At each relay point, the truck driver hands over the cargo to a fresh, well-rested driver, ensuring continuous movement.

Network of Relay Pit Stops

Route Optimization

Technology Integration

Driver Allocation

Driver acceptance and training

Integration with existing systems

Increased infrastructure requirements

CHALLENGES



1. Load-Truck Matching



Priority Dispatch: Prioritizes tasks based on urgency, customer importance, or other criteria.

Dynamic Dispatch: Adjusts assignments in real-time based on changing conditions (e.g., traffic, vehicle availability, etc)

3. Algorithms Route optimization:

Factors to be considered

- ## 1 Relay Model 2 Dynamic LTL Route 3 Best route b/w A&B

Technology adoption by Fleet Industry: 20-25% Telematics penetration of trucks, with room for significant growth

Fuel Efficiency 6-7 Km/L for heavy trucks, lagging behind global standards

Potential technologies for Load Truck Matching

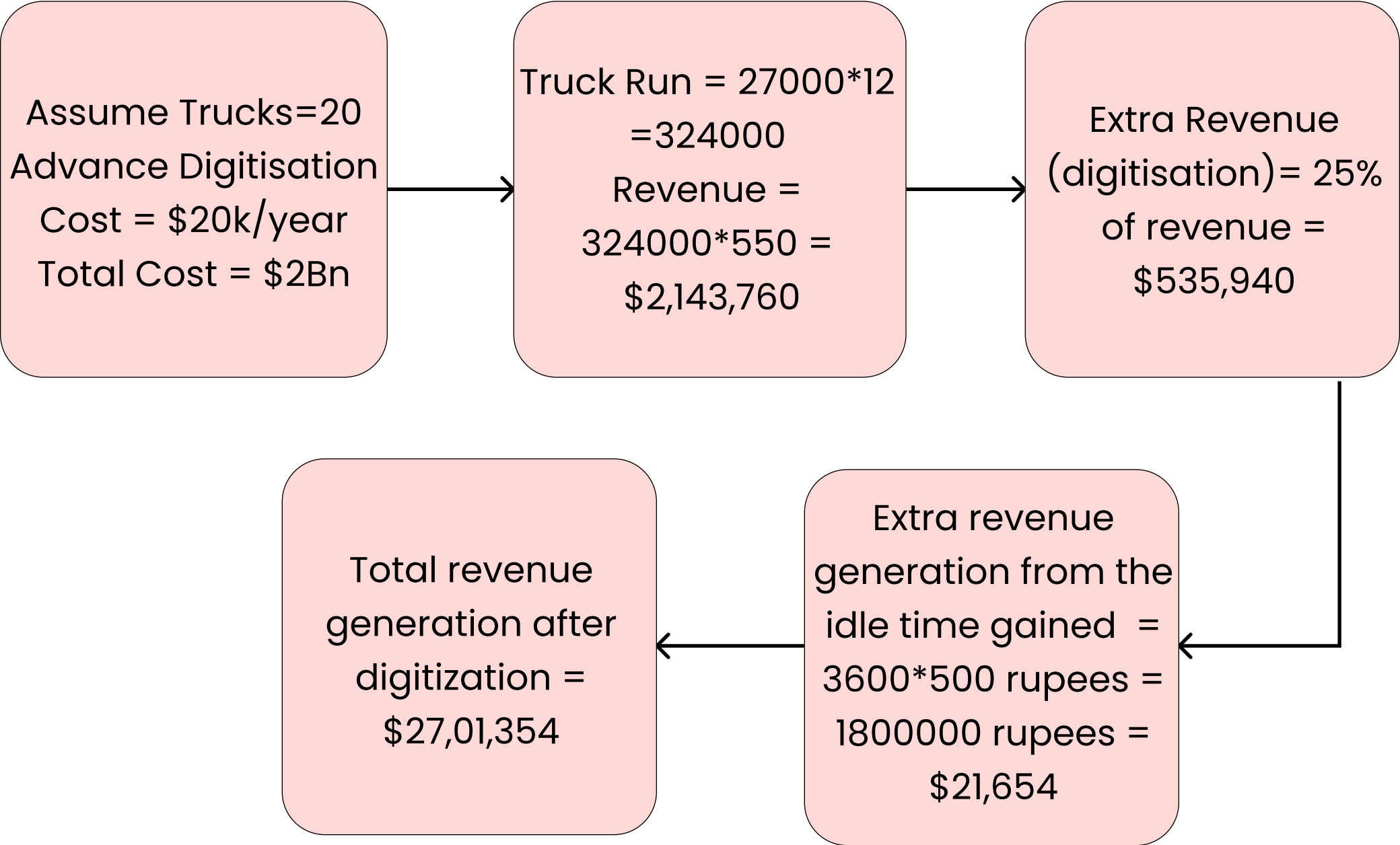


Start with **OR algorithms** & after huge data collection for training, switch to **ML Algorithms**

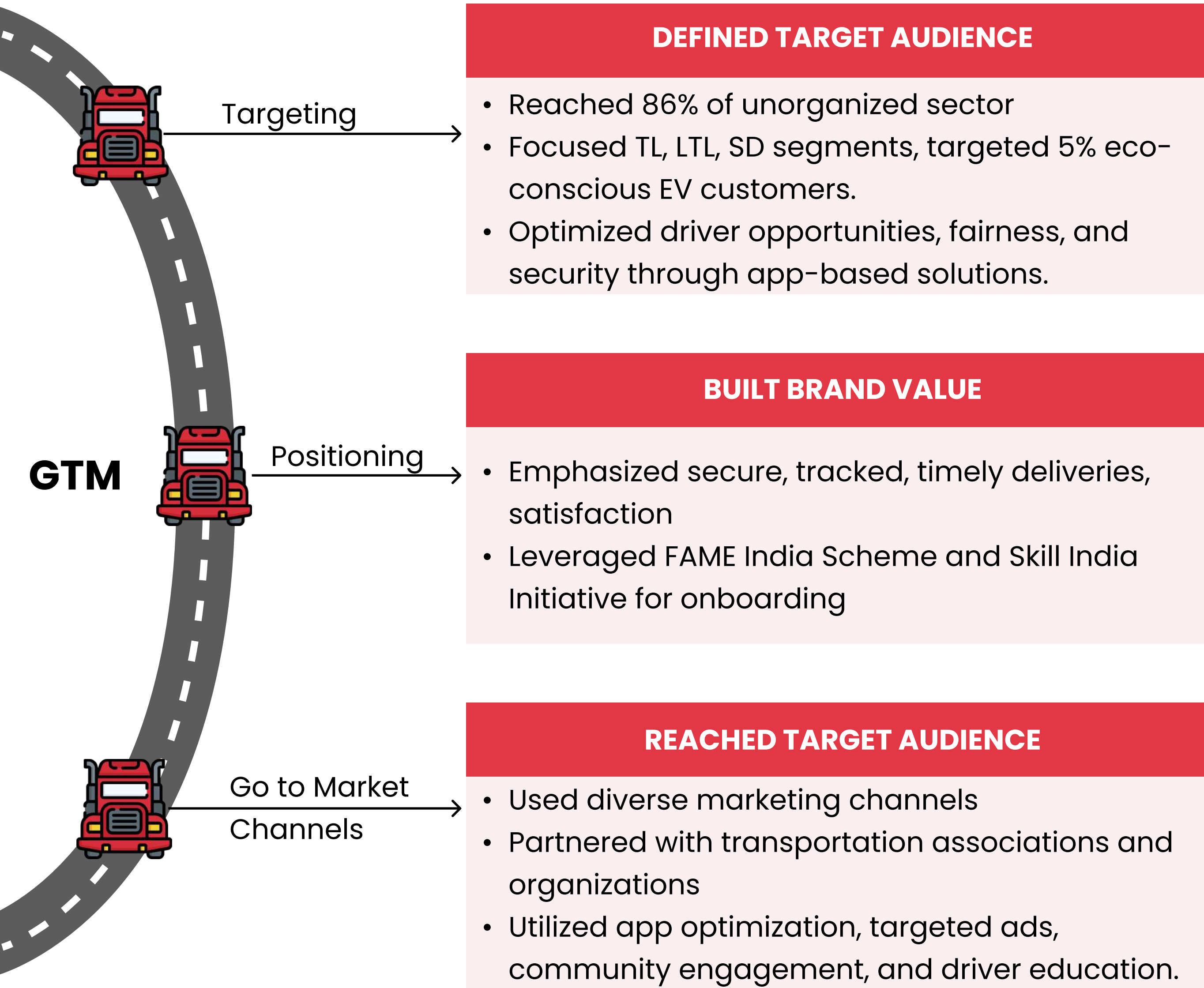
Suggested Algorithms

- ## 6. Optimization Algorithms

Parameters	Pre-digitization (cost per truck in a year)	Post-digitization (cost per truck in a year)
Environmental Impact	₹ 4 lacs- ₹ 7.2 lacs	₹ 3.2 lacs- ₹ 6.4 lacs
Fuel Efficiency	₹ 3 lacs- ₹ 5 lacs	₹ 2.85 lacs- ₹ 4.75 lacs
Operating Costs	₹ 1 lacs- ₹ 3 lacs	₹ 0.9 lacs- ₹ 2.4 lacs
Purchase Price	NIL	₹ 20,000- ₹ 50,000
Range	₹ 5,000- ₹ 15,000	₹ 5,500- ₹ 19,500
Load Capacity	₹ 10,000- ₹ 30,000	₹ 10,000- ₹ 35,000
	Negligible Staff Costs	₹ 10,000- ₹ 40,000



Truck Type	% OF FLEET	Acquistion Cost/ truck(in ₹)	Operational Cost/ Truck/Year(in ₹)	Training Costs/ driver (in ₹)	Total Costs/ truck (in ₹)	Benefits/truck/ year (in ₹)	Recovery Time (Years)
Specialised	5%	20 lacs	5 lacs	0.05 lacs	25.5 lacs	0.9 lacs	5-6
Diesel LTL	28.50%	18 lacs	4.5	0	22.5 lacs	0.63 lacs	Shorter than Specialized, longer than TL
Electric LTL	1.50%	25 lacs	3.5 lacs	0.05 lacs	28.5 lacs	0.63 lacs	Longer than Diesel LTL
Truckload (TL)	65%	19 lacs	4	0	19 lacs	0.6 lacs	Shorter than Specialized





BONUS QUESTION

Objective Function subject to Constraints

Creating Objective function subject to given constraints to **Maximize Revenue, Ensure adequate Truck Utilisation and considering Age-based adjustment** we used : **C:PLEX software**

Let X_{ijk} represent the number of hours truck i transports goods of type j in month k .

$$\text{Maximize } Z = \sum_i \sum_j \sum_k (R_{ijk} \times X_{ijk})$$

where R_{ijk} is the revenue per hour for truck i transporting goods of type j in month k

Constraints:

1. Truck Utilization Constraints:

- Minimum Monthly Operating Hours: $\sum_j \sum_k X_{ijk} \geq 200$ for each truck i .
- Minimum Weekly Operating Hours: $\sum_j X_{ijk} \geq 50$ for each truck i .
- Maximum Daily Operational Limit: $X_{ijk} \leq 16$ for each truck i in each day k .

2. Goods Type Constraints:

- Minimum and Maximum Hours for Goods Type:

$$\text{Perishable Items: } 3000 \leq \sum_{i \text{ perishable}} X_{ijk} \leq 4000$$

Objective Function subject to Constraints

- Fragile Goods: $4000 \leq \sum_i X_{i\text{fragile}} k \leq 6000$
- Electronics: $5000 \leq \sum_i X_{i\text{electronics}} k \leq 8000$
- General Goods: $6000 \leq \sum_i X_{i\text{general}} k$

3. Break and Continuous Operation Constraints:

- Maximum Continuous Days: $\sum_k (\sum_j X_{ijk} > 16) \leq 2$ for each truck i .
- Maximum Continuous Days with Breaks: $\sum_k (\sum_j X_{ijk} > 16) \leq 1$ for each truck i .

4. Overall Monthly Travel Limit:

Total Monthly Need: $\sum_i \sum_j \sum_k X_{ijk} = 27,000$.

5. Dynamic Adjustment Constraints:

- Revenue Adjustment based on Goods Type and Age and maximizing it:
 $R_{ijk} = R_{ijk}^{\text{base}} + R_{\text{type}} + R_{\text{age}}$, where R_{type} and R_{age} are additional earnings based on goods type and truck age, respectively.

CODE

IBM ILOG CPLEX Optimization Studio

File Edit Navigate Search Run Window Help



```
*1.mod x
1 from docplex.mp.model import Model
2
3  ## Create a model
4 mdl = Model("Truck_Rostering")
5
6  ## Define decision variables
7 x = mdl.continuous_var_dict(keys, name="x")
8
9  ## Define the objective function
10 mdl.maximize(mdl.sum([revenue[i]*x[i] for i in keys]))
11
12  ## Add constraints for maximum hours of operation
13 for truck in trucks:
14     mdl.add_constraint(mdl.sum([x[i] for i in keys if i involves truck]) <= max_hours)
15
16  ## Add constraints for minimum and maximum hours for goods
17 for good in goods:
18     mdl.add_constraint(mdl.sum([x[i] for i in keys if i involves good]) >= min_hours[good])
19     mdl.add_constraint(mdl.sum([x[i] for i in keys if i involves good]) <= max_hours[good])
20
21  ## Add constraints for break requirements
22 for truck in trucks:
23     mdl.add_constraint(mdl.sum([x[i] for i in keys if i involves truck and is a break]) >= min_breaks)
24
25  ## Add constraints for continuous operation limitations
26 for truck in trucks:
27     mdl.add_constraint(mdl.sum([x[i] for i in keys if i involves truck and is a continuous operation]) <= max_continuous_operation)
28
29  ## Solve the model
30 solution = mdl.solve()
31
32  ## Print the solution
33 print(solution)
34  ## Assuming 'solution' is the output from the optimization model
35
36  ## Create an empty schedule
37 schedule = {truck: [] for truck in trucks}
38
39  ## Loop over the solution
40 for i in solution:
41     ## # Get the truck, day, and goods type from i
42     truck, day, goods_type = get_truck_day_goods(i)
43
44     ## # Add the goods type to the schedule for the truck on the given day
```


CODE

IBM ILOG CPLEX Optimization Studio

File Edit Navigate Search Run Window Help



```
*1.mod x
6  ## Define decision variables
7  x = mdl.continuous_var_dict(keys, name="x")
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42     truck, day, goods_type = get_truck_day_goods(i)
43
44     ## # Add the goods type to the schedule for the truck on the given day
45     schedule[truck].append((day, goods_type))
46
47 ///# Now 'schedule' contains the schedule for each truck
48
49
```


Some part of output:

```
{  
'Truck1': [  
('Day1', 'Perishable Items', 17),  
('Day2', 'Fragile Goods', 15),  
('Day3', 'Electronics', 11),  
('Day4', 'Break', 0),  
('Day5', 'General Goods', 9),  
# More days...  
],  
'Truck2': [  
('Day1', 'General Goods', 20),  
('Day2', 'Perishable Items', 15),  
('Day3', 'Break', 0 ),  
('Day4', 'Fragile Goods', 10),  
('Day5', 'Electronics', 9),  
# More days...  
]  
}
```

Problem Identification and Solutions Implemented:

- 1. Problem:** Driver Fatigue, Lack of Training, and Liquor Consumption
Identified Issue: Driver fatigue, inadequate training, and liquor consumption contribute to truck accidents.
Solution we provided: Balanced work-rest schedules. Diversified trip assignments. Training programs via government schemes. Breath alcohol testers to discourage liquor consumption.
- 2. Problem:** Unorganized Sector Inefficiency and Lack of Compliance
Identified Issue: Unorganized sector inefficiencies, non-compliance, and unsafe practices.
Solution we provided: Onboarded unorganized sector. Provided consistent work with work-life balance. Enhanced safety through real-time tracking and cameras. Conducted truck licensing and ensured document readiness.
- 3. Problem:** Lack of Digitization Resulting in Inefficiencies and Risks
Identified Issue: Lack of digitization leads to inefficiencies, higher costs, and increased risks.
Solution we provided: Launched an app for digitizing the trucking process. Included features like document storage, automated allotment, and route optimization.
- 4. Problem:** Lack of Client Visibility and Communication
Identified Issue: Clients lack real-time order tracking and direct points of contact.
Solution we provided: Provided real-time tracking features for client visibility. Established direct points of contact for clients. These solutions collectively address trucking industry challenges, promoting safety, efficiency, compliance, and transparency through digitization and operational improvements.

UBER FREIGHT digitisation summary

Positive Metrics:

- Freight gross bookings grew **43%** YoY in **2022**.
- Adjusted **EBITDA** margin improved **1.8** percentage points YoY in Q4 2022.
- Efficiency gains, e.g., **60%** reduction in empty miles.

Challenges:

- Freight revenue declined **27%** YoY in Q3 2023.
- Continued adjusted **EBITDA loss** of **\$13 million** in Q3 2023.
- Limited financial transparency for **Uber Freight**.

Possible Explanations for Revenue Decline:

1. Cost Cutting:

- Streamlining operations and negotiating better deals.
- Shifting resources to more profitable areas.
- Leveraging support from other Uber segments.

2. Long-term Strategy:

- Investing in growth despite short-term revenue challenges.
- Building market share and preparing for a rebound.
- Focusing on efficiency gains for future profitability.

3. External Factors:

- Impact of macroeconomic conditions and supply chain disruptions.
- Consideration of seasonal fluctuations in freight industry revenue.

Conclusion: Despite revenue decline, Uber Freight's strategies include cost management, long-term investments, and adapting to external factors for sustained operations and future growth.

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